

SUBCONTRACTING PLAN OUTLINE

The following outline meets the minimum requirements of Public Law 95-507 and the Federal Acquisition Regulation (FAR) Subparts 19.7. It is intended to be a guideline. It is not intended to replace any existing corporate plan which is more extensive. If assistance is needed to locate small business sources, contact the Department of Homeland Security Small Business Advocate, Mr. Anthony Bell, 202-447-0063, Anthony.bell@hq.dhs.gov.

Please note that DHS has subcontracting goals of 42% for small business, 3% for HUBZONE small business, 5% for small disadvantaged business, 5% for women-owned small business, 3% for service-disabled veteran-owned small business, and a 3% for veteran-owned small business concerns for fiscal year 2019.

For full and open competitive procurements, CBP traditionally includes the Subcontracting Plan and other socio-economic criteria as evaluation factors for award. In these instances, the highest socio-economic ratings are given to the offeror proposing the highest cumulative dollars in all socio-economic categories. Accordingly, the offeror proposing the highest cumulative subcontracting dollars combined with the best historical record for achieving subcontracting goals derives a competitive advantage. CBP encourages offerors to propose socio-economic subcontracting goals which exceed the goals in each socio-economic category whenever possible.

The key players for review and signature of the subcontracting plan are the Small Business Specialist (SBS), Small Business Administration (SBA) - Procurement Center Representative (PCR), and the Contracting Officer (CO).

Identification Data:

Company Name: _____
Address: _____
Date Prepared: _____ Solicitation Number: _____
Item/Service: _____
Place of Performance: _____

1. TYPE OF PLAN: (Check only one).

- ☐ **INDIVIDUAL PLAN:** *In this type of plan all elements are developed specifically for this contract and are applicable for the full term of this contract.*
- ☐ **MASTER PLAN:** *In this type of plan, goals are developed for this contract; all other elements are standard. The master plan must be approved every three (3) years. Once incorporated into a contract with specific goals, it is valid for the life of the contract.*
- ☐ **COMMERCIAL PLAN:** *This type of plan is used when the contractor sells products and services customarily used for nongovernment purposes. Plan/goals are negotiated with the initial agency on a company-wide basis rather than for individual contracts. The plan is effective only during year approved. The contractor must provide a copy of the initial agency approval,*

2. GOALS:

- A. Estimated dollar value of all planned subcontracting, i.e., to all types of business concerns under this contract is:
- B. Estimated dollar value* and percentage of planned subcontracting to small business concerns is:
(*This figure includes the amount in C., D., E., and F. below.)
- C. Estimated dollar value and percentage of planned subcontracting to HUBZone small business concerns are:
- D. Estimated dollar value and percentage of planned subcontracting to small disadvantage business concerns is:
- E. Estimated dollar value and percentage of planned subcontracting to small women-owned business concerns is:
- F. Estimated dollar value and percentage of planned subcontracting to veteran-owned small business concerns is:
- G. Supplies and/or services to be subcontracted under this contract, business size (i.e., SB, HUBZone, SDB, WOSB, VOSB, SDVOSB, and LB), and the estimated dollar expenditure, are: (Check all that apply).

SUPPLY/SERVICE	COMPANY NAME	BUSINESS TYPE SIZE (SB, HUBZone, SDB, etc...)	DOLLAR AMOUNT
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(Attach additional sheets if necessary.)

- H. Explain the methods used to develop the subcontracting goals for small, HUBZone small business, small disadvantaged, women-owned small business, veteran-owned small business, and service-disabled veteran-owned small business concerns. Explain how the product and service areas to be subcontracted were established, how the areas to be subcontracted to small, HUBZone small business, small disadvantage, women-owned small, veteran-owned small business, and service-disabled veteran-owned small business concerns were determined, and how the capabilities of small, HUBZone small, small disadvantage, women-owned small, veteran-owned small business, service-disabled veteran-owned small business concerns were determined. Identify all source lists used in the determination process.

- I. Indirect and overhead costs ☐ HAVE BEEN
☐ HAVE NOT BEEN

included in the dollar and percentage subcontracting goals stated above. (Check one.)

- J. If indirect and overhead costs HAVE BEEN included, explain the method used to determine the proportionate share of such costs to be allocated as subcontracts to small, HUBZone small, small disadvantaged, women-owned small, and veteran-owned small business concerns.

3. PLAN ADMINISTRATOR:

FAR 19.704 (a) (7) requires information about the company employee who will administer the subcontracting program. Please provide the name, title address, phone number, position within the corporate structure and the duties of that employee.

Name:

Title:

Address:

Telephone:

Position:

Duties: Does the individual perform the following? (If NO is checked, please indicate who in the company performs those duties, or indicate why the duties are not performed in your company).

- A. Developing and promoting company/division policy statements that demonstrate the company's/division's support for awarding contracts and subcontracts to small, HUBZone small, small disadvantaged, women-owned small, veteran-owned small, and service-disabled veteran-owned small business concerns.
- ☐ YES ☐ NO
- B. Developing and maintaining bidders' lists of small, HUBZone small, small disadvantage, women-owned small, veteran-owned small, and service-disabled veteran-owned small business concerns from all possible sources.
- ☐ YES ☐ NO
- C. Ensuring periodic rotation of potential subcontractors on bidders' lists.
- ☐ YES ☐ NO
- D. Assuring that small, HUBZone small, small disadvantaged, women-owned small and veteran-owned small businesses are included on the bidders' list for every subcontract solicitation for products and services they are capable of providing.
- ☐ YES ☐ NO
- E. Ensuring that subcontract procurement "packages" are designed to permit the maximum possible participation of small, HUBZone small, small disadvantage, women-owned small, veteran-owned small, and service-disabled veteran-owned small business concerns.
- ☐ YES ☐ NO
- F. Reviewing subcontract solicitations to remove statements, clauses, etc., which might tend to restrict or prohibit small, HUBZone small, small disadvantaged, women-owned small, veteran-owned small business, and service-disabled veteran-owned small business participation.
- ☐ YES ☐ NO
- G. Ensuring that the subcontract bid proposal review board documents its reasons for not selecting any low bids submitted by small, HUBZone small, small disadvantage, women-owned small, veteran-owned small, and service-disabled veteran-owned small business concerns.
- ☐ YES ☐ NO
- H. Overseeing the establishment and maintenance of contract and subcontract award records.
- ☐ YES ☐ NO
- I. Attending or arranging for the attendance of company counselors at Business Opportunity Workshops, Minority Business Enterprise Seminars, Trade Fairs, etc.
- ☐ YES ☐ NO

- J. Directly or indirectly counseling small, HUBZone small, small disadvantaged, women-owned small, and veteran-owned small, and service-disabled veteran-owned small business concerns on subcontracting opportunities and how to prepare responsive bids to the company.

☐ YES ☐ NO

- K. Providing notice to subcontractors concerning penalties for misrepresentations of business status as small, HUBZone small, small disadvantage, women-owned small, veteran-owned small business, or service-disabled veteran-owned small business for the purpose of obtaining a subcontract that is to be included as part or all of a goal contained in the contractor's subcontracting plan.

☐ YES ☐ NO

- L. Conducting or arranging training for purchasing personnel regarding the intent and impact of Public Law 95-907 on purchasing procedures.

☐ YES ☐ NO

- M. Developing and maintaining an incentive program for buyers which supports the subcontracting program.

☐ YES ☐ NO

- N. Monitoring the company's performance and making any adjustments necessary to achieve the subcontract plan goals.

☐ YES ☐ NO

- O. Preparing and submitting timely reports.

☐ YES ☐ NO

- P. Coordinating the company's activities during compliance reviews by Federal agencies.

☐ YES ☐ NO

4. EQUITABLE OPPORTUNITY:

FAR 19.704 (a) (8) requires a description of the efforts your company will make to ensure that small, HUBZone small, small disadvantaged, women-owned small, veteran-owned small, and service-disabled veteran-owned small business concerns will have an equitable opportunity to compete for subcontracts. (Check all that apply.)

- a. Outreach efforts to obtain sources:

- ☐ Contacting minority and small business trade associations
☐ Contacting business development organizations

- ☐ Attending small and minority business procurement conferences and trade fairs
- ☐ Finding sources from the Small Business Administration's Procurement Network (ProNet)
- b. Internal efforts to guide and encourage purchasing personnel:
 - ☐ Presenting workshops, seminars and training programs
 - ☐ Establishing, maintaining and using small, HUBZone small, small disadvantaged, women-owned small, veteran-owned small business, and service-disabled veteran-owned small business source lists, guides and other data for soliciting subcontracts
 - ☐ Monitoring activities to evaluate compliance with the subcontracting plan
- c. Additional efforts: (Please describe.)

5. CLAUSE INCLUSIONS AND FLOW DOWN:

FAR 19.704 (a) (9) requires that your company include FAR 52.219-8, "Utilization of Small Business Concerns", in all subcontracts that offer further subcontracting opportunities. Your company must require all subcontractors, except small business concerns, that receive subcontracts in excess of \$700,000 (\$1,500,000 for construction) to adopt and comply with a plan similar to the plan required by FAR 52.219.9, "Small Business Subcontracting Plan."

Your company agrees that the clause will be included and that the plans will be reviewed against the minimum requirements for such plans. The acceptability of percentage goals for small, HUBZone small, small disadvantaged, women-owned small, veteran-owned small business, and service-disabled veteran-owned small business concerns must be determined on a case-by-case basis depending on the supplies and services involved, the availability of potential small, HUBZone small, small disadvantaged, women-owned small, veteran-owned small, and service-disabled veteran-owned small business subcontractors and prior experience. Once the plans are negotiated, approved, and implemented, the plans must be monitored through the submission of periodic reports, including the Electronic Subcontracting Reporting System (eSRS), at <http://www.esrs.gov>.

6. REPORTING AND COOPERATION

FAR 19.704(a) (10) requires that your company (1) cooperate in any studies or surveys as may be required, (2) submit periodic reports into eSRS which show compliance with the subcontracting plan; (3) submit Individual Subcontracting Report (ISR), and Summary Subcontract Report (SSR); and (4) ensure that subcontractors agree to submit the ISR and SSR into eSRS. The cognizant Contracting Officer of CBP must receive the reports semi-annually for the periods ending March 31 and September 30 (within 30 days after the close of each reporting period), as well as a closeout report within 30 days of contract completion. That is:

<u>Calendar Period</u>	<u>Report Due</u>	<u>Date Due</u>	<u>Send Report To</u>

7. RECORDKEEPING:

FAR 19.704 (a) (11) requires a list of the types of records your company will maintain to demonstrate the procedures adopted to comply with the requirements and goals in the subcontracting plan. (Check all that apply.) (If NO is checked, please indicate why these types of records are not maintained).

A. *Small, small disadvantaged, women-owned small, HUBZone small, veteran-owned small, and service-disabled veteran-owned small business concern source lists, guides, and other data identifying such vendors.*

☐ YES ☐ NO

B. *Organizations contracted for small, small disadvantaged, women-owned small, HUBZone small, veteran-owned small, and service disabled veteran-owned small business sources.*

☐ YES ☐ NO

C. *On a contract-by-contract basis, records on all subcontract solicitations over \$100,000 which indicate for each solicitation (1) whether small business concerns were solicited, and if not, why not; (2) whether small disadvantaged business concerns were solicited, and if not, why not; (3) whether women-owned small business concerns were solicited, and if not, why not; (4) whether HUBZone small business concerns were solicited, and if not, why not; (5) whether veteran-owned small business concerns were solicited, and if not, why not; (6) whether service disabled veteran-owned small businesses were solicited, and if not, why not; and (7) reasons for the failure of solicited small, small disadvantaged, women-owned small, HUBZone small, veteran-owned small, and service disabled veteran-owned small business concerns to receive the subcontract award..*

☐ YES ☐ NO

D. *Records to support other outreach efforts, e.g., contacts with minority and small business trade associations, attendance at small and minority business procurement conference and trade fairs.*

☐ YES ☐ NO

E. *Records to support internal activities to (1) guide and encourage purchasing personnel, e.g., workshops, seminars, training programs, incentive awards; and (2) monitor activities to evaluate compliance.*

☐ YES ☐ NO

F. *On a contract-by-contract basis, records to support subcontract award data including the name, address and business size and ownership status (SDB, WOB, HUBZone, VOSB, SDVOSB, etc.) of each subcontractor. (This item is not required for company or division-wide commercial plans.)*

☐ YES ☐ NO

G. Other records to support your compliance with the subcontracting plan: (Please describe)

8. TIMELY PAYMENT TO SUBCONTRACTORS

FAR 19.702 requires your company to establish and use procedures to ensure the timely payment of amounts due pursuant to the terms of your subcontract with small business concerns, small disadvantaged business concerns, women-owned small business concerns, HUBZone small business concerns, veteran-owned small business concerns, and service disabled veteran-owned small business concerns.

Your company has established and uses such procedures:

☐ YES ☐ NO

9. DESCRIPTION OF GOOD FAITH EFFORT

Maximum practicable utilization of small, small disadvantaged women-owned small, HUBZone small, veteran-owned small, and service disabled veteran-owned small business concerns as subcontractors in Government contracts is a matter of national interest with both social and economic benefits. When a contractor fails to make a good faith effort to comply with a subcontracting plan, these objectives are not achieved, and 15 U.S.C. § 637 (d) (4) (F) directs that liquidated damages shall be paid by the contractor. In order to demonstrate your compliance with a good faith effort to achieve the small, small disadvantaged, women-owned small, HUBZone small, veteran-owned small, and service disabled veteran-owned small business subcontracting goals, **outline the steps your company plans to take.** These steps will be negotiated with the contracting officer prior to approval of the plan.

10. SIGNATURES REQUIRED

This subcontracting plan was SUBMITTED by:

Signature: _____

Typed Name: _____

Title: _____

Date: _____

This subcontracting plan was REVIEWED by:

Signature: _____

Typed Name: _____

Title: _____

Date: _____

This subcontracting plan was REVIEWED by:

Signature: _____

Typed Name: _____

Title: _____

Date: _____

This subcontracting plan was REVIEWED by:

Signature: _____

Typed Name: _____

Title: _____

Date: _____

This subcontracting plan was ACCEPTED by:

Signature: _____

Typed Name: _____

Title: _____

Date: _____